

LVMH ESG Assessment

Executive Summary

LVMH demonstrates a comprehensive approach to Environmental, Social, and Governance (ESG) management through a combination of ambitious environmental targets, extensive human rights commitments, and established governance structures. Across its operations, the Group seeks to integrate sustainability principles into strategic decision-making, product design, sourcing practices, workforce development, and executive oversight. The company's approach is most visibly reflected in its LIFE 360 program, which serves as the foundation for many of its environmental commitments and long-term sustainability objectives.

The Group employs more than 211,000 people worldwide and operates across a highly complex global value chain that spans fashion, leather goods, wines and spirits, cosmetics, watches, jewelry, hospitality, and selective retailing. Given the scale of these operations, ESG performance is intrinsically linked to long-term business resilience, resource availability, supply chain stability, and brand reputation.

The available evidence indicates meaningful progress in several areas. LVMH has reduced Scope 1 and Scope 2 emissions by 37% compared to 2023 levels, reduced Scope 3 emissions by 13% over the same period, reduced water withdrawals by 19% compared to 2019 levels, and restored or protected 4.3 million hectares of natural habitat as part of a broader biodiversity strategy targeting five million hectares by 2030. The company has also integrated sustainability criteria into executive compensation structures and established dedicated governance mechanisms to oversee ethics, compliance, and ESG performance.

However, the assessment also reveals risks and controversies that challenge the effectiveness of implementation. Investigations involving Nuti Ivo Group raised concerns regarding traceability and deforestation-linked leather sourcing, while the Loro Piana subcontractor case exposed weaknesses in supply chain oversight despite the existence of comprehensive human rights policies and supplier standards. These incidents demonstrate that strong policies and ambitious commitments do not automatically translate into consistent outcomes across complex supplier networks.

Overall, LVMH presents a mature ESG framework with measurable commitments and tangible progress across all three pillars. Nevertheless, continued improvements in transparency, traceability, supplier monitoring, and enforcement mechanisms remain necessary to ensure that operational practices consistently align with publicly stated commitments.

Company Overview

LVMH Moët Hennessy Louis Vuitton SE is the world's largest luxury goods group, operating a portfolio of globally recognized brands across Fashion and Leather Goods, Wines and Spirits, Watches and Jewelry, Perfumes and Cosmetics, Selective Retailing, and Hospitality. Its decentralized business model allows each Maison to maintain its unique identity while operating within common governance, ethics, and sustainability frameworks established at Group level.

At the end of 2025, LVMH employed more than 211,000 people globally, including over 40,000 direct employees in France. The company reports that each direct job it creates in France generates approximately 4.4 indirect jobs within the wider economy, highlighting the economic significance of its operations. In addition to its direct economic contribution, the Group maintains over 280 professions and continues to invest heavily in preserving craftsmanship and technical expertise through apprenticeship and training initiatives.

The scale and diversity of LVMH's operations create significant ESG responsibilities. The company depends heavily on natural resources, agricultural commodities, leather, cotton, grapes, and other raw materials, making environmental issues such as climate change, biodiversity loss, water management, and responsible sourcing materially important. Similarly, the complexity of its global supplier network increases exposure to human rights, labor rights, and traceability risks. As a result, ESG performance is increasingly intertwined with LVMH's operational resilience, brand value, and regulatory compliance.

Environmental Assessment

Climate Change and Greenhouse Gas Emissions

Climate change represents one of the most material environmental issues facing LVMH. Although the company operates within the luxury goods sector rather than heavy industry, its reliance on agricultural products, natural fibers, leather, transportation, packaging, and global supply chains results in significant indirect emissions throughout its value chain.

LVMH reports a total carbon footprint of approximately 4.8 million metric tons of CO₂ equivalent. A particularly important finding is that Scope 3 emissions account for approximately 96% of this footprint, indicating that the vast majority of environmental impacts occur outside the company's direct operations. This concentration of emissions within the value chain means that meaningful climate progress cannot be achieved solely through operational improvements and instead requires extensive supplier engagement and sourcing reforms.

The Group has established ambitious climate objectives, including a 50% reduction in emissions associated with site and store energy consumption by 2026 compared to 2019 levels and a 55% reduction in Scope 3 emissions per unit of added value by 2030. Progress toward these objectives appears significant. By 2025, Scope 1 and Scope 2 emissions had declined by 37% compared to 2023, while Scope 3 emissions decreased by 13% over the same period.

These results suggest that the company's climate strategy is producing measurable outcomes. Unlike organizations that concentrate primarily on operational emissions, LVMH explicitly acknowledges the importance of Scope 3 emissions and has developed targets that seek to address value-chain impacts. Given the dominance of Scope 3 emissions within the company's footprint, the focus on suppliers, raw materials, logistics, and product lifecycle impacts is both necessary and strategically appropriate.

Future progress, however, will largely depend on the company's ability to strengthen traceability systems and influence supplier behavior. The complexity of luxury supply chains means that achieving long-term climate objectives will require sustained collaboration across multiple tiers of suppliers and sourcing regions.

Energy Management

Energy management is a central component of LVMH's environmental strategy and serves as one of the primary mechanisms through which the company seeks to reduce its operational carbon footprint.

The Group aims for 75% of total energy consumption to originate from renewable or low-carbon sources by 2025. To support this objective, sustainability principles have been incorporated into the design and operation of new production sites, logistics facilities, and retail locations. Initiatives include energy optimization, eco-design, electrification, and the deployment of renewable energy technologies such as solar and geothermal energy systems.

Projects such as Bvlgari's Manifattura Valenza and Christian Dior Couture's distribution center illustrate how sustainability considerations are increasingly integrated into infrastructure development. Store operations are also being targeted through programs designed to improve energy efficiency and reduce operational energy demand.

While the strategy appears robust and aligns with global decarbonization trends, the available information provides limited disclosure regarding total energy consumption, energy intensity metrics, and the proportion of renewable energy already achieved. Consequently, although strategic direction appears strong, the effectiveness of some initiatives cannot be fully assessed.

Water Resources

Water stewardship is particularly important for LVMH because many of its products depend directly or indirectly on agricultural production, leather processing, vineyards, cosmetics manufacturing, and textile supply chains. Water availability is therefore both an environmental issue and a business continuity concern.

The Group has established a target to reduce water withdrawals associated with Scopes 1, 2, and 3 by 30% by 2030. Progress toward this objective appears encouraging. By 2025, industrial water withdrawals had already been reduced by 19% relative to 2019 levels.

These improvements have been supported through wastewater recycling systems, water reuse technologies, and broader resource management initiatives. The reduction achieved thus far suggests that the company is making tangible progress toward its long-term objective.

Nevertheless, the available information is aggregated at Group level and provides limited insight into water stress exposure across different geographies and business segments. Additional disclosure regarding water-related risks in vulnerable sourcing regions would strengthen confidence in the company's long-term water stewardship strategy.

Waste and Pollution

LVMH addresses waste and pollution through a combination of circular economy principles, product durability initiatives, responsible sourcing practices, and supplier requirements.

A core element of the strategy is extending product life cycles through repair services, restoration programs, reuse initiatives, and upcycling of valuable materials such as leather and fur. The Group also seeks to improve product design and packaging practices through its objective of eliminating virgin plastic from packaging by 2026 and ensuring that all new products incorporate eco-design principles by 2030.

The company requires its suppliers and business partners to comply with environmental requirements relating to waste management, pollution prevention, and environmental compliance. These obligations include addressing risks associated with air emissions, wastewater discharges, and soil contamination.

Although the overall direction is consistent with circular economy principles, the available information contains relatively limited performance data related to waste generation, recycling volumes, pollution incidents, or environmental remediation outcomes. Consequently, it remains difficult to fully assess actual operational performance within this area.

Biodiversity and Nature

Among all environmental topics, biodiversity appears to be one of LVMH's strongest areas of performance. The importance of biodiversity is closely linked to the company's dependence on natural resources, ecosystems, and agricultural supply chains.

LVMH has committed to preventing sourcing from areas facing very high risks of deforestation or desertification and aims to ensure that 100% of strategic raw materials are certified by 2026. The company has also established a target to rehabilitate five million hectares of wildlife habitat by 2030.

Progress toward this objective appears substantial. By 2025, approximately 4.3 million hectares had already been preserved, restored, or regenerated. The Group has also formed partnerships with organizations such as WWF and supports ecosystem conservation initiatives in regions including the Congo Basin rainforest.

These efforts indicate that biodiversity is not treated as a peripheral sustainability issue but rather as a strategic business concern that directly affects long-term resource availability and product quality.

Sustainable Sourcing and Supply Chain Management

Given the nature of its business model, sustainable sourcing and supply chain management are among the most material ESG issues facing LVMH. The company relies heavily on agricultural commodities, leather, cotton, grapes, precious materials, and numerous specialized suppliers distributed across global markets. As a result, many of the Group's environmental and social impacts originate beyond its direct operations.

To address these risks, LVMH requires all Business Partners to comply with its Supplier and Business Partner Code of Conduct, which establishes expectations regarding social responsibility, environmental performance, ethical business conduct, and compliance with applicable laws and standards. Suppliers are not only expected to comply themselves but are also required to ensure that subcontractors and lower-tier suppliers respect the same standards.

A major component of the Group's sustainable sourcing strategy is traceability. LVMH has committed to implementing dedicated traceability systems across 100% of its strategic supply chains by 2030, while all new products are expected to incorporate dedicated information systems by 2026. These commitments reflect growing stakeholder expectations regarding transparency and the increasing regulatory emphasis on traceable sourcing practices.

The company has also invested in supplier engagement and capacity-building initiatives through the LIFE 360 programme, supporting suppliers in decarbonization, environmental risk management, and disclosure practices. Such initiatives

demonstrate an effort to move beyond compliance and foster long-term improvements throughout the value chain.

Despite these initiatives, supply chain management remains one of the most significant ESG challenges facing the Group. The controversies surrounding leather sourcing and labour rights illustrate the difficulty of maintaining visibility and control across complex global supply chains. Consequently, the effectiveness of traceability systems and supplier monitoring mechanisms will remain a critical factor in determining the credibility of LVMH's sustainability commitments.

Environmental Risks and Controversies

While LVMH presents ambitious environmental commitments and measurable progress across several areas of performance, the company has also been the subject of significant environmental scrutiny regarding its supply chain practices.

The most notable controversy involves Nuti Ivo Group, an Italian tannery acquired by LVMH and integrated into its supply chain network. According to investigations conducted by external organizations, suppliers associated with Nuti Ivo were linked to more than 100,000 hectares of deforestation in Paraguay, including areas claimed by Indigenous communities. These findings raised concerns regarding the effectiveness of the company's sourcing controls and biodiversity commitments.

The controversy became particularly significant because it appeared to conflict with LVMH's public commitment to eliminate sourcing from areas at high risk of deforestation and desertification. Trade data reportedly indicated that the Nuti Ivo Group imported approximately 2,710 metric tons of leather from Paraguay in 2025, valued at roughly \$3.8 million. Additionally, investigations suggested that only 45% of hides supplied to the Group could be traced back to a specific slaughterhouse, exposing important limitations within existing traceability mechanisms.

The controversy therefore extends beyond deforestation itself and raises broader questions regarding the company's ability to verify environmental claims throughout its value chain. While LVMH emphasizes responsible sourcing and full supply chain transparency as strategic priorities, the findings demonstrate how difficult it can be to translate those commitments into operational reality across complex international sourcing networks.

In response, LVMH stated that the South American sourcing arrangements represented residual contracts that predated the acquisition of Nuti Ivo and that discussions were underway to gradually phase out these agreements. The company also rejected claims that it had lobbied to weaken European anti-deforestation legislation and reaffirmed its commitment to combating deforestation throughout its supply chain.

Although these actions indicate a willingness to address stakeholder concerns, the controversy illustrates that significant improvements in supplier verification, traceability, and transparency may still be required before the company's environmental commitments can be considered fully implemented in practice.

Environmental Strengths

LVMH's environmental performance is characterized by several notable strengths. First, the company has established a long-term environmental strategy supported by measurable objectives extending to 2030. The LIFE 360 programme provides a coherent framework that connects climate action, biodiversity preservation, circular economy initiatives, water stewardship, and responsible sourcing.

Second, the company has demonstrated measurable progress against a number of environmental targets. Significant reductions in greenhouse gas emissions, decreases in water withdrawals, and substantial habitat restoration achievements indicate that environmental initiatives are generating tangible outcomes rather than remaining purely aspirational commitments.

Third, biodiversity appears to be a particularly strong area of performance. The restoration or preservation of 4.3 million hectares of natural habitat by 2025 represents significant progress toward the five-million-hectare objective and positions biodiversity as a central pillar of the company's environmental strategy.

Finally, sustainability considerations have been integrated into supplier relationships, infrastructure development, product design, and executive oversight. This level of integration suggests that environmental management is increasingly embedded within operational decision-making rather than being treated as a standalone sustainability initiative.

Social Assessment

Workforce Profile and Employment Practices

LVMH's social performance is strongly influenced by the size, diversity, and international nature of its workforce. At the end of 2025, the Group employed more than 211,000 people globally, including over 40,000 direct employees in France. The company reports that each direct position created in France supports an additional 4.4 indirect jobs throughout the wider economy, demonstrating a significant contribution to employment and economic development.

A defining feature of LVMH's workforce strategy is the preservation and transmission of specialized knowledge. The Group supports more than 280 professions across its various Maisons and has trained more than 3,800 apprentices through its Institut des

Métiers d'Excellence since 2014. This focus on craftsmanship and technical expertise reflects the importance of knowledge transfer within the luxury goods sector and highlights human capital as a strategic asset.

Training, Development and Employee Wellbeing

Talent development plays a central role within LVMH's social strategy. The company invests in employee learning and skills development through a range of training initiatives, including Sephora University and other programmes supported by technology and artificial intelligence.

The emphasis on continuous learning reflects both operational requirements and broader workforce expectations. By supporting apprenticeships, career development, and professional advancement opportunities, the Group seeks to maintain the specialized capabilities required to support its portfolio of luxury brands.

Employee wellbeing is also incorporated into management practices through initiatives designed to support healthy and safe working environments. Although limited quantitative performance data is available, the company's disclosures indicate a commitment to protecting both physical and mental wellbeing.

Health and Safety

LVMH requires both employees and Business Partners to operate within health and safety frameworks designed to prevent accidents, injuries, and occupational risks. Business Partners are expected to provide appropriate protective equipment, conduct regular compliance evaluations, and maintain safe working conditions.

These requirements extend beyond production activities and also apply to any accommodation provided to workers. The approach demonstrates an effort to integrate health and safety expectations across the broader value chain rather than limiting responsibility to direct operations.

However, the absence of detailed metrics regarding accident rates, injury frequency, or health and safety performance indicators limits the ability to perform a more quantitative assessment of outcomes.

Diversity, Equity and Inclusion

LVMH maintains policies prohibiting discrimination throughout all employment practices. These protections apply to recruitment, compensation, training, promotion, parental protection, and career development. The company also opposes all forms of workplace harassment and requires suppliers to implement equivalent protections.

The Group's approach demonstrates a clear commitment to equal opportunity and fair treatment. However, limited disclosure regarding workforce diversity, representation in

leadership positions, and related performance indicators makes it difficult to assess practical progress beyond the existence of formal policies.

Human Rights

Human rights represent one of the strongest components of LVMH's social framework. Through its Human Rights Charter, the company prohibits child labour, forced labour, and illegal employment while requiring employment relationships to be based on informed consent and written contracts.

Beyond direct operations, these principles are extended throughout the value chain. Suppliers are required to establish monitoring mechanisms, remediation procedures, and traceability systems to identify and address potential human rights risks. Particular attention is given to vulnerable populations, including Indigenous communities, where suppliers are expected to obtain Free, Prior and Informed Consent when required.

The existence of the LVMH Alert Line provides employees and external stakeholders with a mechanism for reporting concerns confidentially and without fear of retaliation.

Supply Chain Management and Labour Standards

Given the importance of outsourced production and specialized suppliers within the luxury industry, supply chain management is one of the most material social issues for LVMH.

The Supplier and Business Partner Code of Conduct establishes expectations regarding labour standards, health and safety, working conditions, non-discrimination, and ethical conduct. Business Partners are required to ensure that subcontractors also comply with these standards and may be subject to audits and corrective action procedures.

Failure to comply may result in suspension of purchases or termination of business relationships.

While these mechanisms provide a comprehensive governance structure for supply chain management, the effectiveness of implementation remains a critical challenge, as demonstrated by recent labour-rights controversies.

Community Engagement and Social Impact

LVMH reports extensive engagement with local communities and nonprofit organizations. During 2025, the Group supported nearly 1,000 nonprofits and charitable foundations, while approximately 69,000 employees participated in community initiatives that benefited more than 2.5 million people.

The company's social impact extends beyond philanthropy. LVMH operates 117 production facilities and workshops in France and contributed approximately €5.5

billion in corporate taxes during 2025, approximately half of which was paid within France.

These contributions demonstrate that the company's social impact extends beyond its direct workforce and includes broader economic and community benefits.

Social Risks and Controversies

The most significant social controversy during the assessment period involved Loro Piana, one of LVMH's luxury brands. In July 2025, Loro Piana was placed under judicial administration by a Milan court following allegations that subcontractors involved in production activities exploited workers.

The controversy highlighted the challenges associated with monitoring labour standards across complex supply chains. Despite extensive human rights policies and supplier requirements, the incident demonstrated that violations can still occur within subcontracted operations.

Loro Piana responded by terminating its relationship with the implicated supplier within twenty-four hours and publicly reaffirmed its commitment to human rights and compliance throughout the supply chain.

Although the response was swift, the case illustrates the ongoing gap that can exist between formal policies and implementation outcomes, particularly when production activities involve multiple layers of suppliers and subcontractors.

Social Data Gaps

Important limitations remain in the available social data. The company provides limited information regarding employee turnover, workforce demographics, diversity representation, accident rates, supplier audit results, and grievance mechanism utilization. These omissions restrict the ability to evaluate social performance using detailed quantitative indicators.

Governance Assessment

LVMH's governance framework is characterized by strong central oversight combined with a decentralized operating structure. Governance responsibilities are distributed across the Board of Directors, Executive Committee, Ethics and Sustainable Development Committee, Group ESG Committee, and Ethics and Compliance Department.

The governance structure demonstrates significant integration of ESG considerations into decision-making processes. Sustainability oversight has been assigned to dedicated committees, while leadership responsibility extends from the Chairman and Chief Executive Officer to Executive Committee members and Maison Presidents throughout the organization.

A notable strength is the integration of sustainability considerations into executive remuneration. Bernard Arnault's variable compensation is equally divided between financial performance criteria and strategic, management, CSR, and sustainability objectives. This establishes a direct connection between executive incentives and the company's sustainability agenda.

LVMH also maintains extensive ethics and compliance mechanisms, including anti-corruption policies, anti-money laundering controls, conflict-of-interest requirements, investigation procedures, and whistleblower protections. The LVMH Alert Line provides a secure and confidential reporting mechanism for employees, suppliers, and other stakeholders while explicitly prohibiting retaliation against individuals who raise concerns in good faith.

Supplier governance forms another significant component of the overall governance framework. Business Partners are expected to comply with the Supplier and Business Partner Code of Conduct and may be audited or subjected to corrective action procedures. Non-compliance can ultimately result in contract termination.

The company reports no significant governance failures, regulatory investigations, arbitration proceedings, or shareholder disputes during the assessment period. Nevertheless, the available information does not provide detailed disclosures regarding Board effectiveness evaluations, committee performance assessments, or broader executive compensation structures beyond the Chairman and CEO.

Overall, the governance framework appears mature, comprehensive, and strongly integrated with both the environmental and social pillars of the company's ESG strategy.

Overall ESG Assessment

LVMH demonstrates a well-developed ESG framework supported by measurable environmental objectives, extensive human rights commitments, and strong governance structures. The company's ESG strategy is characterized by long-term target setting, sustainability integration within executive oversight, and significant investment in workforce development, biodiversity conservation, climate action, and responsible sourcing.

The strongest aspects of performance are visible within biodiversity, climate strategy, workforce development, community engagement, ethics, and governance integration. Significant quantitative progress has been achieved across several environmental objectives, while the governance framework provides clear oversight mechanisms and accountability structures.

At the same time, the assessment reveals that supply chain management remains the most significant challenge facing the Group. Both the Nuti Ivo deforestation controversy

and the Loro Piana labour rights case demonstrate the complexity of managing ESG risks across global supplier networks. These incidents suggest that implementation and verification remain more challenging than policy development.

Despite these challenges, LVMH has generally responded proactively when issues have emerged and continues to strengthen traceability, supplier monitoring, and transparency initiatives. The Group therefore displays many of the characteristics associated with mature ESG management, although continued improvements in operational oversight and supply chain transparency will be necessary to ensure full alignment between commitments and outcomes.

Considering the available information, LVMH can be assessed as demonstrating **strong overall ESG performance**, with particular strengths in environmental strategy, governance integration, biodiversity protection, and human rights commitments, while continuing to face material risks associated with supplier oversight and value-chain transparency.